SECTION 4 · INSTITUTIONAL DERIVATIVES ARCHITECTURE

FUTURES & OPTIONS OPEN INTEREST FIELD MANUAL (ROWS 9 & 10)

CORE DOCTRINE: Derivatives GRADE, they NEVER GATE. Market structure and Price Action dictate the setup; F&O maps near-month friction, writer walls, and trapped liquidity.

1. ROW 9 · FUTURES OI STATE MACHINE

DAY-OVER-DAY CASH VS ΔOI

State	Px	OI	Tape Dynamic	Action
Long Build-up	▲	▲	Fresh buyers adding leverage with conviction	Breakout has fuel; trade full aggression.
Short Covering	▲	▼	Trapped shorts exiting; no new demand	**Do not chase.** Fades are frequent.
Short Build-up	▼	▲	Bears aggressively pressing declines	**Bounces are suspect.** Heavy supply.
Long Unwinding	▼	▼	Longs liquidating without aggressive shorts	Drifting, exhausted tape; await value.

POSITIONING BASIS (TRAPPED MONEY CALCULATOR)

- **Long Basis (basis L):** Weighted average price where contracts were added on up-close days.
  - *Price < basis L:* Marginal long is **underwater**; sells to scratch breakeven on rallies (**Resistance**).
  - *Price > basis L:* Longs are in profit; buy to defend dips (**Support**).
- **Short Basis (basis S):** Weighted average price where contracts were added on down-close days. Price sustaining above it traps shorts, generating covering acceleration fuel.
- **Built Share (bld %):** Share of 20 daily prints adding net contracts.
  - *≥ 40%:* Active, mathematically reliable book.
  - *< 40%:* Book mostly unwound; basis is stale (suppress read).

2. ROW 10 · OPTIONS OI & WRITERS' CORRIDOR

NEAR-MONTH POSITIONING

PUT WALL (writers S) — Institutional Floor ⟵ SPOT PRICE — Expected Corridor ⟶ CALL WALL (writers R) — Institutional Ceiling

- **Put-Call Ratio (PCR):** Total Put OI ÷ Total Call OI.
  - *< 0.70* `Call-Heavy` 🔴: Massive call writing. Capped upside.
  - *0.70 – 1.30* `Balanced` ⚪: Neutral tape; no strong derivative bias.
  - *> 1.30* `Put-Heavy` 🟢: Writers defending downside; strong floor.
- **Call Wall (writers R):** Strike with peak Call OI. Concrete ceiling pure chart patterns cannot see. If T1 sits above it, reward fights option writers.
- **Put Wall (writers S):** Strike with peak Put OI. Validates stop loss if SL sits safely behind this wall.
- **Max Pain:** Strike where option buyers lose maximum capital.
  - *Doctrine:* **An expiry magnet, NEVER a price target.** Pulls price inward during expiry week.
- **ATM Shift (ATM ΔOI):**
  - *Positive (+):* Writers adding (range consolidation / slow drift).
  - *Negative (−):* Writers fleeing (path clear for impulsive drive).

3. BAND V EXECUTION & LIVE CASE STUDY

PLAN & RISK SYNTHESIS

STEP 1: STATE CHECK — Is it *Long Build-up*?
- *YES:* Full breakout aggression. • *NO (Short Build-up / Covering):* Pullbacks only.

STEP 2: BASIS HURDLE — Is price below *basis L*?
- *YES:* Selling churn at `basis L` (trapped longs). • *NO:* `basis L` defends as support.

STEP 3: CALL WALL VS T1 — Does *writers R* sit below T1?
- *YES:* Check `R to the wall`. Book 25%–50% partial at or before the wall!
- *NO:* Clear runway to technical T1; hold standard runner for 3R+.

STEP 4: STOP SHIELDING — Does Stop Loss rest below *writers S*?
- *YES:* Institutionally protected: put writers defend before SL is touched.

UNOMINDA (125m) Decoded — **RECOVERY (Auto-113)**

- **Spot:** 1230.0 • **Futures:** Short build-up +0.4%
- **Basis:** L 1239.5 | S 1126.2 (Combined: 1259.2)
- **Options:** PCR 0.61 🔴 | Max Pain: 1240.0 (+0.8%)
- **Walls:** S 1200.0 → R 1300.0 | **Plan:** T1 1403.4 (3.0R) | SL 1172.2

TACTICAL RULINGS:

1. **T1 Truncation:** Technical T1 is 1403.4, but Call Wall sits at 1300.0 (→ only 1.2R runway). Book partial scale-out at 1300.0!
2. **Immediate Friction:** Long Basis (1239.5) and Max Pain (1240.0) form a 10-pt hurdle. Expect a grinding drift, not an explosion.
3. **Stop Safety:** SL at 1172.2 rests safely below Put Wall (1200.0). Institutional put sellers protect your stop.